These M. K. & T. and 'Frisco issues yield the same return, if full interest is paid. The "Katy" bonds are closer to the rails, being directly junior to the Prior Lien issues, while the 'Frisco Income 6s are subject also to the Adjustment Mortgage. As indicated by Table VII, the M. K. & T. Adjustments should have the benefit of a considerably larger earning power under normal operating conditions.

M. K. & T. 7% Preferred. (*Cumulative after January* 1, 1928). Because of the similarity in market price, this issue is comparable with 'Frisco common rather than 'Frisco Preferred. M. K. & T. Preferred makes an excellent exhibit in respect to current earnings, and appears not only distinctly preferable to St. Louis-San Francisco common, but also an independently attractive speculative purchase.

M. K. & T. Common. While dividends on the issue are doubtless very remote, it should quickly reflect marketwise any improvement in the general railroad situation or in the position of Missouri, Kansas & Texas. At its present price of $8 1/4 per share, it possesses unusual speculative opportunities as a low priced railroad issue.

A COMPARISON OF ATCHISON, SOUTHERN PACIFIC, AND NEW YORK CENTRAL (Circular issued in April 1922)

Introduction. Recent weeks have witnessed a revival of interest in high-grade railroad shares. This activity is of particular significance because it is based on both investment and speculative considerations. The continued advance in the bond list has first been followed by corresponding strength in the preferred issues, and is now directing attention to the investment type of common stocks—namely, those with long-established dividend records.

From the speculative standpoint also, railroad shares of the better class are becoming increasingly attractive. Indications point clearly to a great improvement in net earnings during 1922, as compared with 1921. Already substantial increases in car loadings are being reported, and the improvement should be intensified by the industrial revival expected later in the year. Of even greater importance is the continued reduction of operating expenses, which is gradually leading to a return of a normal ratio of net earnings to gross receipts.

The high-grade railroad common stocks therefore deserve consideration by both investor and speculator. We present herewith the results of an examination of the present status and recent record of three of the prominent issues of this type—Atchison, Southern Pacific, and New York Central. Some of the most important data are summarized in the following brief table: